



Euro Solar Energy

Instant Returns from Renewable Energy – 40 Operational KÁT Solar Parks in Hungary

Immediate Operations, Secured Revenue Stream, Scalable Asset Base

Investment Summary

Project Objective

Acquisition of a single holding company owning 40 fully operational KÁT-eligible solar parks in Hungary, offering immediate, stable, state-backed cash flows in a closed, premium asset class.

Project USPs



Secured Returns

Fixed tariffs guaranteed for up to 20 years



Scalable Platform

Corporate structure supports efficient portfolio growth



Immediate Cash Flow

Generating revenue from day one



Economies of Scale

Lower O&M and balancing costs, bulk discounts

Financials

Total Capital Required:

€18.25M

Price per Park:

€700k

Projected Cash-on-Cash Return:

9%

Payback:

~10 years

Investment Highlights

65% equity stake in Euro Solar Energy Zrt.

- Direct access to KÁT revenue streams
- Annual dividend distributions to investors

Hungary's KÁT System: A Stable Foundation for Renewable Energy Investment

The KÁT system (Mandatory Off-Take Tariff) was introduced in 2007 as a **government-backed renewable energy support scheme**. It mandates the purchase of renewable energy at fixed tariffs, ensuring **long-term financial stability** and **predictable revenue streams** for producers.



Guaranteed Offtake:

Renewable energy producers sell electricity at **fixed tariffs** for 20-25 years, **eliminating** market and price **risks**.

Long-Term Security:

Designed to **attract large-scale investments** in solar and biomass energy with minimal risk exposure.

Regulatory Stability:

Legal protections **against retroactive changes** ensure investor confidence.

Historically Increasing Tariffs:

Over the past years, KÁT tariffs have **consistently increased**, often **outperforming** free **market prices**. While inflation indexing is temporarily suspended, tariffs will rise if inflation exceeds 6% annually, and current rates remain **highly competitive** compared to alternative schemes.

*Includes the KÁT surcharge, adjusted monthly by MAVIR to balance the difference when market prices fall below fixed KÁT tariffs. MAVIR acts as a neutral intermediary, ensuring full cost coverage without profit. All consumers pay this, regardless of energy source (Wattler.eu, 2024)

Despite Its Benefits Over Other Schemes, Access to the KÁT System is Closed

Since 2016, **no new projects can enter the KÁT system**, making existing parks a **rare** and **highly valuable** investment opportunity with **guaranteed returns**. In recent years, the fixed KÁT tariff has repeatedly outperformed* the average market price, offering a clear financial edge.

Criteria	KÁT	METÁR	Corporate PPA
Government Support	Full (Fixed Tariff)	Auction-based Premium	None
Price Stability	20-25 years (Fixed)	Partial (Market-linked)	Variable (Contractual Terms)
Investment Risk Profile	Low (state-backed)	Medium (auction design risks)	Variable (counterparty risks)
Financial Predictability	High	Medium	Contract-dependent

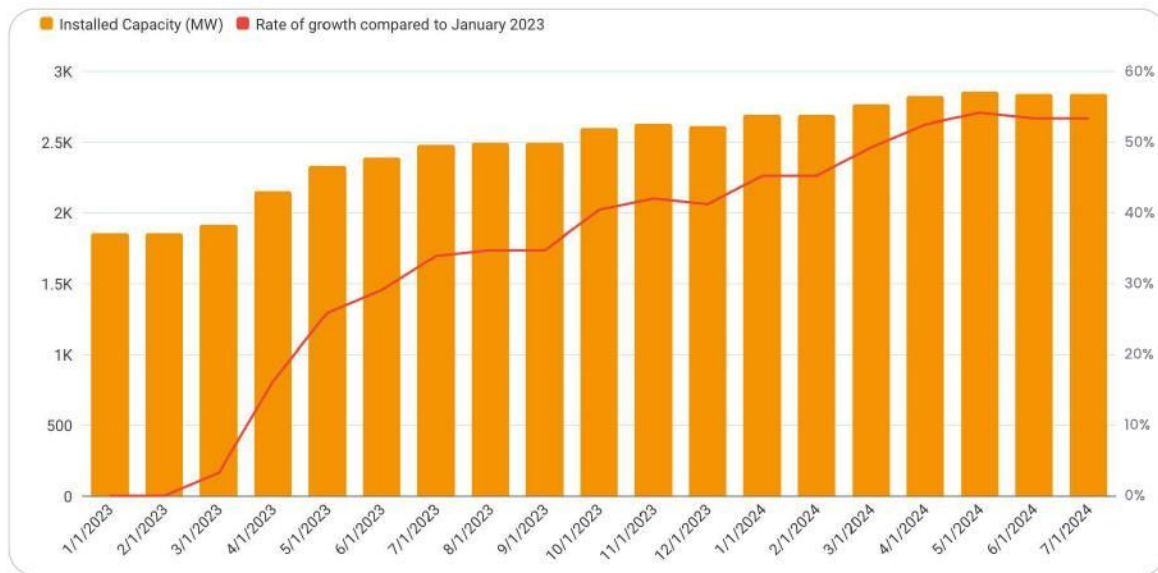
KÁT **entitlements** have **consistently remained stable** since their introduction, offering **long-term security for producers**. Protected by EU legislation, existing support schemes **cannot be** retroactively **altered in ways that undermine economic viability**. In case of regulatory changes, **alternative schemes such as PPAs provide viable option**.

*Based on HUDEX and MAVIR data, the fixed KÁT tariff exceeded the average Hungarian wholesale market electricity price in 2021, 2023, and 2024, highlighting its relative financial advantage in volatile market conditions.

The Hungarian Renewables Market grew rapidly, led by Solar and KÁT Capacity

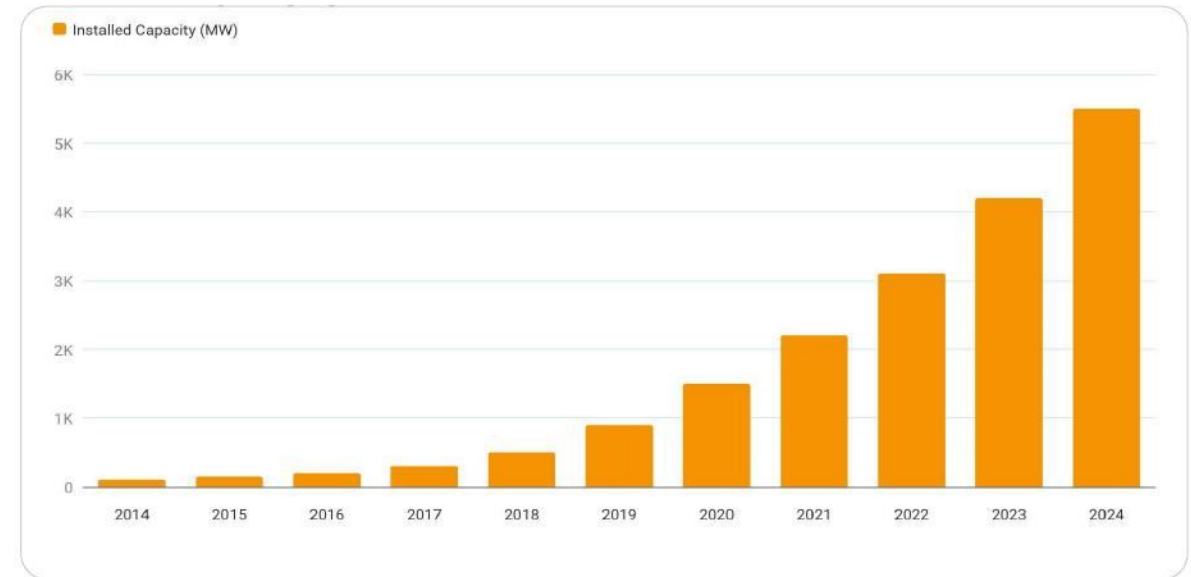
Hungary's renewable capacity has surpassed 7,5 GW*, over 3 GW of which is under the **KÁT scheme**. This **support mechanism** was key to **unlocking the solar boom** — without it, investment levels would have remained far lower. Solar **dominates** recent capacity additions.

Installed capacity and distribution of KÁT power plants (2023–2024)



Source: wattler.eu, 2024

The installed capacity of solar panel systems in Hungary



Source: Ministry of Energy (Hungary)

*Data cited in: vg.hu, referencing the Hungarian Ministry of Energy, 2025

Project Portfolio Overview

Key Characteristics

Portfolio Size

**40 KÁT-eligible solar parks
under single ownership**

Average Park Size

~500 kW

Commercial Operation Dates (COD):

TBD

Land Ownership

**100% owned sites
(no leasing)**

Total Installed Capacity

~20 MWAC

Expected Annual Production

**~ 30,000 MWh (~750,000 kWh/
unit on average)**

Geographic Spread

**Multiple locations across
Hungary (TBD)**

Remaining KÁT Support Period

More than 80% on average

Technical Specifications

Panel Technology

TBD

Grid connection

**All parks with secured grid connection
permits**

Monitoring System

**Remote monitoring and performance
tracking**

Inverters

TBD

O&M Structure

**Centralized maintenance program across
portfolio**

Performance Ratio (PR)

TBD

Financial Overview

Key Financial Metrics

Total Project Cost

€28M

Equity financing

€18.25M (65%)

Debt financing

€9.75M (35%)

Price per Park

€700k

Annual Revenues

Over €3.5M starting from Year 1

DSCR

>2,8x

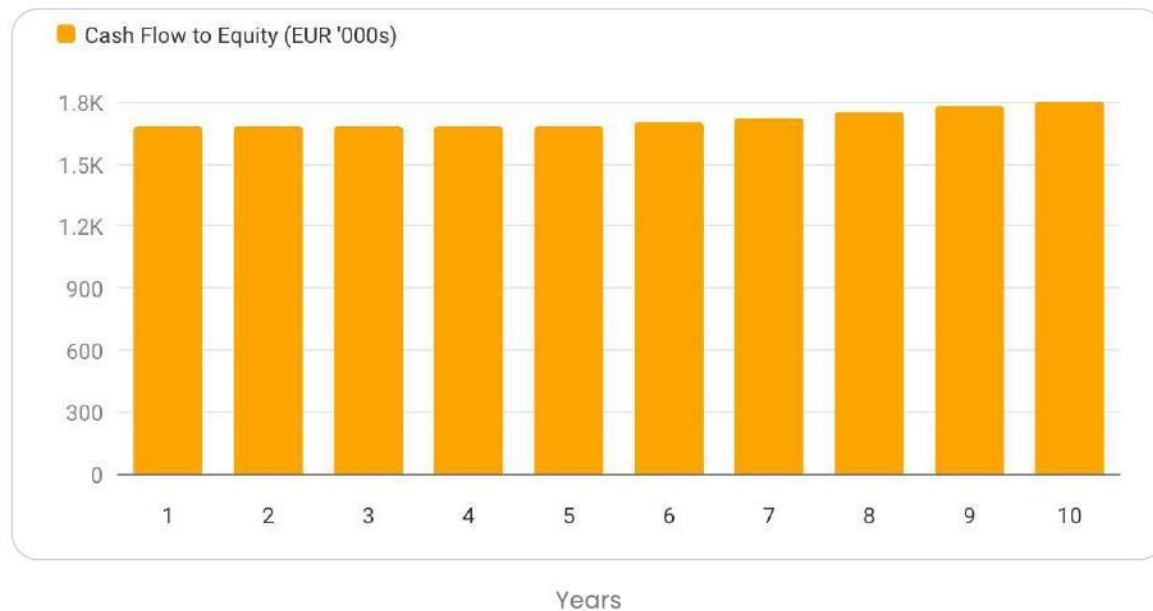
Payback

~10.6 years

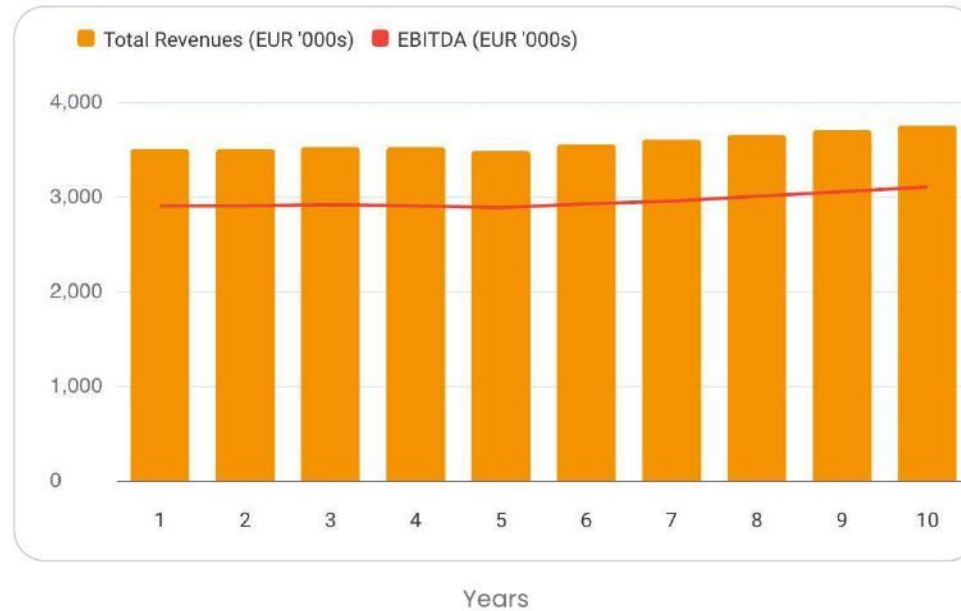
Cash on Cash Return

9,3%

Cash flow to equity over 10 years



10-year revenue and EBITDA trends



Unique Advantages of the KÁT Solar Assets in This Portfolio



Immediate Cash Flow

- Portfolio consists exclusively of **operational** solar parks **delivering immediate annual revenue streams**



Exclusive KÁT Entitlements – Protected Returns

- No development or grid connection risks
- All parks **retain KÁT status with >80% of eligibility period** remaining (15–20 years)
- Closed Market – No new KÁT permits since 2016, creating scarcity premium for existing assets.



Scalable Portfolio

- Corporate structure **designed** for **efficient onboarding** of additional parks
- **Additional** KÁT-eligible **parks available** within affiliated network.
- **Economies of scale:** Lower O&M/balancing costs & discounted purchase multiples



Supportive Tax Environment

- Robin Hood **tax exemption** (41%) **applies to KÁT-eligible** parks, significantly enhancing net profitability – Local tax benefits and financing structures reduce taxable income



Project Risk Assessment & Safeguards



Risk Category	Key Exposure	Level	Mitigation & Safeguards
Regulatory Risks (KÁT-specific)	Potential legislative changes	Low	Long-term KÁT stability; alternative models (PPA, METÁR, merchant) in place
Technical Risks	Operational difficulties, maintenance issues	Low	Extensive operational know-how; established maintenance protocols
FX Risks	Foreign Exchange Exposure – EURHUF rate fluctuations	Medium	Factoring Arrangement; Hedging strategies; Indexation of project cash flows*

*Managing Currency Exchange Rate Risk for Climate Solutions – Climate Investment Funds (2023)

Meet János Puskádi, the Project Owner

Combining 25+ years of entrepreneurship with direct renewable energy experience



János Puskádi

„I aim to combine my extensive experience in the plastic industry with my dedication to renewable energy. This project will be both a profitable investment and a vital step towards sustainability and environmental responsibility.”

Proven Business Leadership & Solar Energy Experience

- Owner & Founder of Euro-Solutions, a plastic trade company that has been a **leader** in the industry for over 25 years
- MD of Vista Plus Offices since 2012 - Managing premium office spaces in Budapest's Duna Tower
- **Hands-on experience** as owner of **Lovászi Solar Energy**, an operational KÁT solar park
 - *„Operating solar assets showed me renewable energy's transformative power – now I'm scaling this vision”*

Proven commitment to sustainability

- *“My passion for recycling drives me to explore solutions for a cleaner future”*
- Early adopter of **bioplastics** to reduce traditional plastic reliance



Lovászi Solar Energy - Proven Track Record with KÁT Solar Parks

Reference Project

Demonstrated Operational Excellence

Successfully managing this solar park since 2022, providing valuable hands-on experience with KÁT system operations and maintenance

Key Metrics

Annual Production:

~780,000 kWh

IRR:

14%

EBITDA Margin:

> 80%

Payback Period:

~8 years

KÁT Entitlement:

Long-term revenue secured, with ~20 years remaining under KÁT subsidy

Operating on owned land:

Located at Western Hungary (Lovászi)

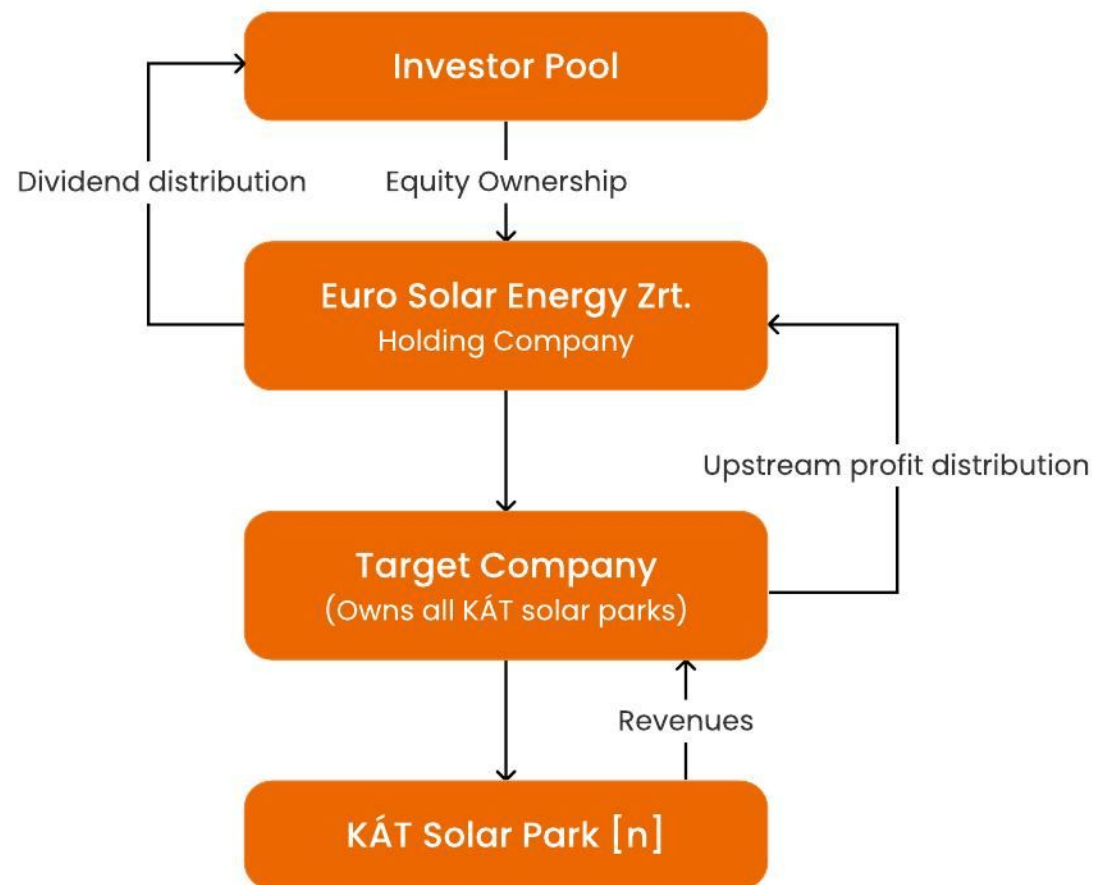
Scalable Model:

- The **operational systems, financial structures, and management processes** developed for this project **provide the blueprint** for the proposed 40-park portfolio
- Cost advantages secured through direct land ownership (vs leasing)



Indicative Corporate Structure

Investors **acquire shares** in **Euro Solar Energy Zrt.**, which acquires a **Target Company** that **owns all KÁT Solar Parks**. Revenues generated by solar parks flow directly to the Target Company and then upstream to the holding entity, enabling **annual dividend distributions** to shareholders.



Project Schedule (Indicative)

'25 June – '25 July

'25 June

'25 July

'25 Aug

'25 Sep
First dividend payout: '26 Apr

Investor pool formation

Establishment – Euro
Solar Energy Zrt

Acquiring the Target
Company

Operational Handover

Start of Revenue Flow

Upsides Beyond the KÁT Framework

Flexible Market Strategies

Alternative Support Scheme:

METÁR¹ offers a premium-based alternative to KÁT system with **continued market viability**

Corporate PPA Opportunity:

Direct power purchase agreements with large corporations ensure **premium pricing and reduced volatility**

Energy Storage Integration

Arbitrage Opportunity:

Connect battery storage to KÁT parks to store energy during grid limitations and **sell at higher night rates** (5-10x premium)

Government Support:

Hungary targeting approximately **1GW** of energy storage by 2030²

Robin Hood Tax Exemption: Hungary's Ministry of Energy confirms KÁT producers retain exemption even after voluntary exit, until the original support period ends—significantly enhancing profitability.

¹ Hungary's Renewable Energy Support Scheme since 2017

² based on Hungary's National Energy and Climate Plan

Investment Process

Initial Assessment

- NDA & LOI Signed
- Preliminary DD
- Technical & Financial Review



Term Sheet

- Data Room Access
- Detailed DD



Contracting

- Sale and Purchase Agreement (SPA) Drafting and Negotiation



Closing

- SPA Signing
- Fund Transfer



Acquisition

- Operational Handover
- Legal Ownership Transfer



Time-Sensitive Opportunity in a Scarce Market

Why this matters?

KÁT parks are a **premium, finite asset class**
(no new entitlements since 2016)

Current opportunities attract
significant institutional **interest**

KÁT solar parks represent a rare opportunity to invest in stable, government-backed cash flows within a mature and regulated framework.



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